SHERLOCK

Security Review For Arcadia Finance



Collaborative Audit Prepared For: **Arcadia Finance**
Lead Security Expert(s): **PUSH0**
Date Audited: **January 5 - January 19, 2026**

Introduction

Arcadia is a next-generation liquidity management protocol for CLAMM DEX. Through user-owned credit accounts, it provides:

- Simple one-click transactions to enter sophisticated high yield strategies.
- Automation of asset and risk management without giving up on self custody.
- Built-in margin (credit).
- An interface for third parties and AI agents to manage assets within onchain enforceable boundaries.

Scope

Repository: arcadia-finance/accounts-v2

Audited Commit: f5e32c654635d17eaab094ea20f1d8ea815af034

Final Commit: f5e32c654635d17eaab094ea20f1d8ea815af034

Files:

- src/asset-modules/abstracts/AbstractAM.sol
- src/asset-modules/abstracts/AbstractPrimaryAM.sol
- src/asset-modules/native-token/NativeTokenAM.sol
- src/oracle-modules/abstracts/AbstractOM.sol
- src/oracle-modules/ChainlinkOM.sol
- src/oracle-modules/RedStonePushOM.sol

Repository: arcadia-finance/asset-managers

Audited Commit: 78ff84ff82e47b3418fca9c5ee3f82eea076042b

Final Commit: df763279b477e1180943668992205ba840e07971

Files:

- src/cl-managers/base/AbstractBase.sol
- src/cl-managers/base/Slipstream.sol
- src/cl-managers/base/UniswapV3.sol
- src/cl-managers/base/UniswapV4.sol
- src/cl-managers/compounders/CompounderSlipstream.sol
- src/cl-managers/compounders/Compounder.sol

- src/cl-managers/compounders/CompounderUniswapV3.sol
- src/cl-managers/compounders/CompounderUniswapV4.sol
- src/cl-managers/interfaces/ICLPositionManager.sol
- src/cl-managers/interfaces/IPositionManagerV3.sol
- src/cl-managers/libraries/ArcadiaLogic.sol
- src/cl-managers/libraries/CLMath.sol
- src/cl-managers/libraries/LiquidityAmounts.sol
- src/cl-managers/libraries/RebalanceLogic.sol
- src/cl-managers/libraries/RebalanceOptimizationMath.sol
- src/cl-managers/libraries/SlipstreamLogic.sol
- src/cl-managers/rebalancers/RebalancerSlipstream.sol
- src/cl-managers/rebalancers/Rebalancer.sol
- src/cl-managers/rebalancers/RebalancerUniswapV3.sol
- src/cl-managers/rebalancers/RebalancerUniswapV4.sol
- src/cl-managers/state/PositionState.sol
- src/cl-managers/yield-claimers/YieldClaimerSlipstream.sol
- src/cl-managers/yield-claimers/YieldClaimer.sol
- src/cl-managers/yield-claimers/YieldClaimerUniswapV3.sol
- src/cl-managers/yield-claimers/YieldClaimerUniswapV4.sol
- src/cow-swapper/CowSwapper.sol
- src/cow-swapper/libraries/ArcadiaLogic.sol
- src/cow-swapper/periphery/DefaultOrderHook.sol
- src/cow-swapper/periphery/OrderHook.sol
- src/guardian/Guardian.sol

Findings

Each issue has an assigned severity:

- High issues are directly exploitable security vulnerabilities that need to be fixed.
- Medium issues are security vulnerabilities that may not be directly exploitable or may require certain conditions in order to be exploited. All major issues should be addressed.

- Low/Info issues are non-exploitable, informational findings that do not pose a security risk or impact the system's integrity. These issues are typically cosmetic or related to compliance requirements, and are not considered a priority for remediation.

Issues Found

High	Medium	Low/Info
0	0	3

Issues Not Fixed and Not Acknowledged

High	Medium	Low/Info
0	0	0

Issue L-1: Incorrect code comment in CowSwapper.sol [RESOLVED]

Source: https://github.com/sherlock-audit/2026-01-arcadia-finance-op-grant/issues/37

Summary

The CowSwapper.sol calls to the flashloan router in `executeAction` which returns tokens to the CowSwapper. The code comment in line 317 however states the tokens are directly return to the account.

Code Snippet

https://github.com/sherlock-audit/2026-01-arcadia-finance-op-grant/blob/main/asset-managers/src/cow-swapper/CowSwapper.sol#L317

Tool Used

Manual Review

Recommendation

Comment should be adjusted to reflect actual behavior.

Discussion

Thomas-Smets

See https://github.com/arcadia-finance/asset-managers/pull/106

Issue L-2: Dead Code in UniswapV4.sol [ACKNOWLEDGED]

Source: https://github.com/sherlock-audit/2026-01-arcadia-finance-op-grant/issues/38

This issue has been acknowledged by the team but won't be fixed at this time.

Summary

The `UniswapV4.sol` contract implements a new function `_decreaseLiquidity()` this function however is never used. Additionally the same code is present in the `_burn()` function.

Code Snippet

https://github.com/sherlock-audit/2026-01-arcadia-finance-op-grant/blob/main/asset-managers/src/cl-managers/base/UniswapV4.sol#L325

https://github.com/sherlock-audit/2026-01-arcadia-finance-op-grant/blob/main/asset-managers/src/cl-managers/base/UniswapV4.sol#L292-L311

Tool Used

Manual Review

Recommendation

Implement the burn function to call `_decreaseLiquidity()`

Discussion

Thomas-Smets

_decreaseLiquidity() is not used by any of the current Asset Managers, but it will be used by a new Asset Manager we are working on (One to close positions for e.g. stop losses).

So we already wanted it to be in scope for the audit.

Issue L-3: [REDACTED]

Source:
https://github.com/sherlock-audit/2026-01-arcadia-finance-op-grant/issues/39

The finding was identified during the audit and was resolved by the Arcadia team. The resolution was verified by Sherlock during the fix review and remediation.

Discussion

Lucas | Sherlock

Fix confirmed.

Disclaimers

Sherlock does not provide guarantees nor warranties relating to the security of the project.

Usage of all smart contract software is at the respective users' sole risk and is the users' responsibility.